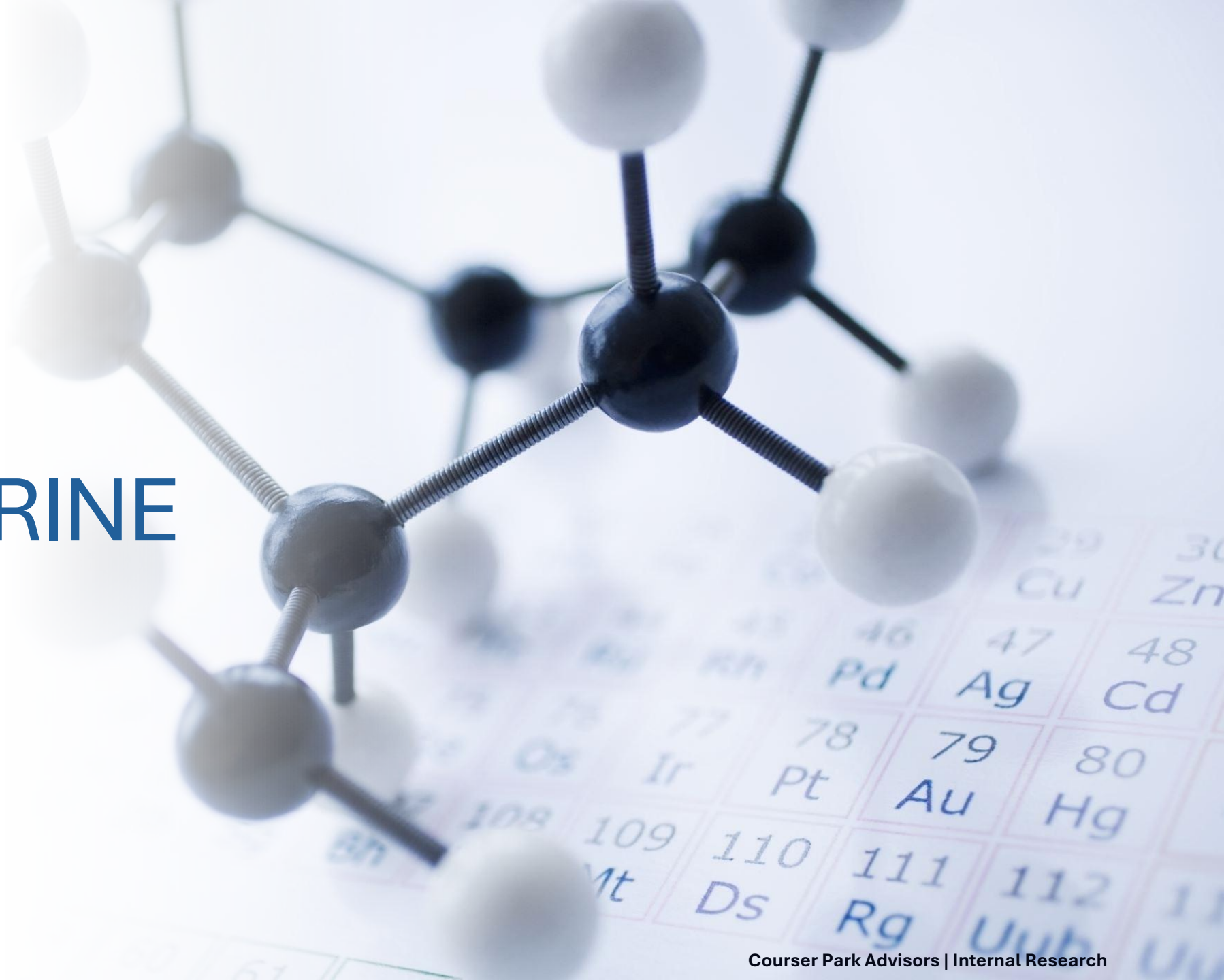


# NAVIN FLUORINE

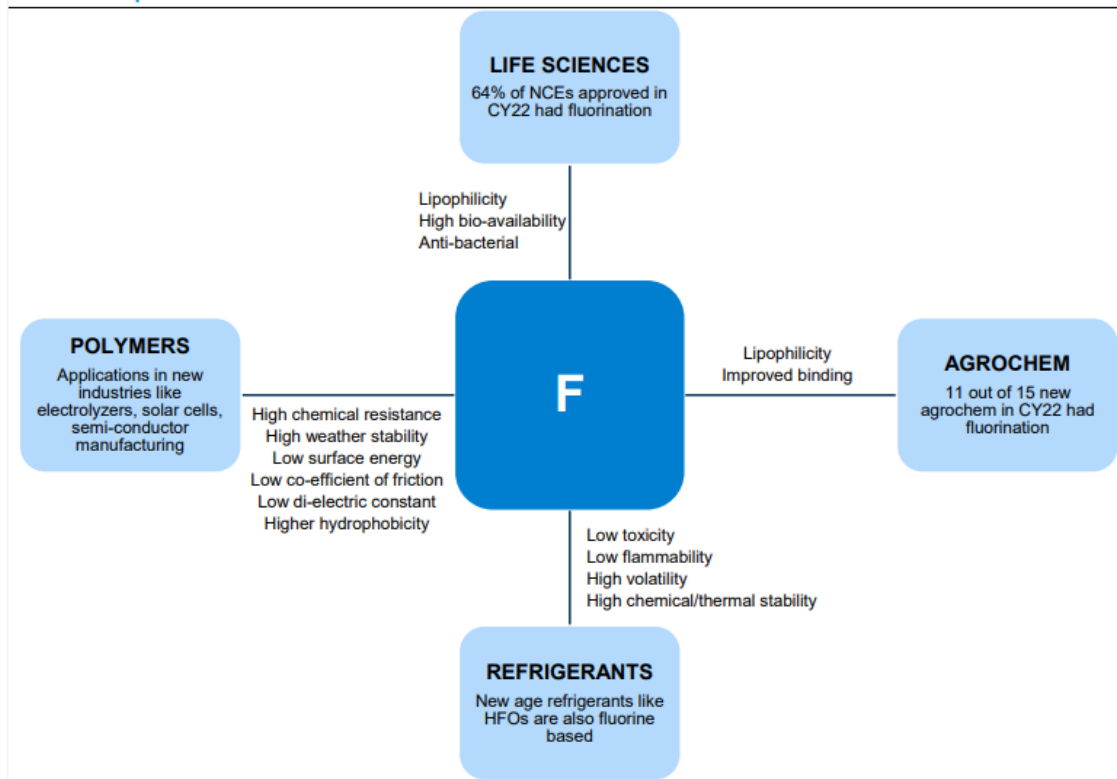


# Thesis

- **Macro Structural Tailwinds:** Strongly positioned to capture the fluorination megatrend, where fluorine chemistry was utilized in 64% of pharma NCEs and 73% of new agrochem ISOs in 2022.
- **Monopolistic HFO Position:** First and only Indian manufacturer of 4th-generation HFO refrigerants; peak annual revenue guidance from the Honeywell contract remains secure at INR 450–460 crores.
- **Refrigerant Growth Tailwinds:** Favorable R32 near-term pricing dynamics driven by US/UK quota restrictions, coupled with highly resilient non-emissive R22 demand as critical industry intermediates.
- **Insulated Specialty Chemical Moat:** Protected from Chinese pricing pressures and global destocking headwinds because 65% to 70% of the segment's molecules are patented or innovator-backed.
- **High-Margin Specialty Chemical Pivot:** Strategically cutting low-margin generic pharma to scale AgChem to 85% of the segment mix, supported by a pipeline of 3 to 4 new molecule launches annually.
- **De-risking the High-Margin CDMO Vertical:** Shifting the product mix to a 50-50 or 60-40 commercial-to-early-stage ratio to eliminate historical revenue lumpiness and clinical trial drop-off volatility.
- **Robust CDMO Pipeline:** Growth visible from H2FY25 onwards, backed by an expanded \$40 million Fermion contract starting in CY25 and a directional target of a \$100 million revenue run-rate by FY27/FY28.
- **Margin Rebound & Premium Valuation:** EBITDA margins are troughing at 18% with a guided recovery to 24–25% as expansions commission in FY25/FY26; justifies a premium target exit PE of 52 over SRF due to lack of commodity drag and unique CDMO optionality.

# Fluorination – Preferred Chemistry

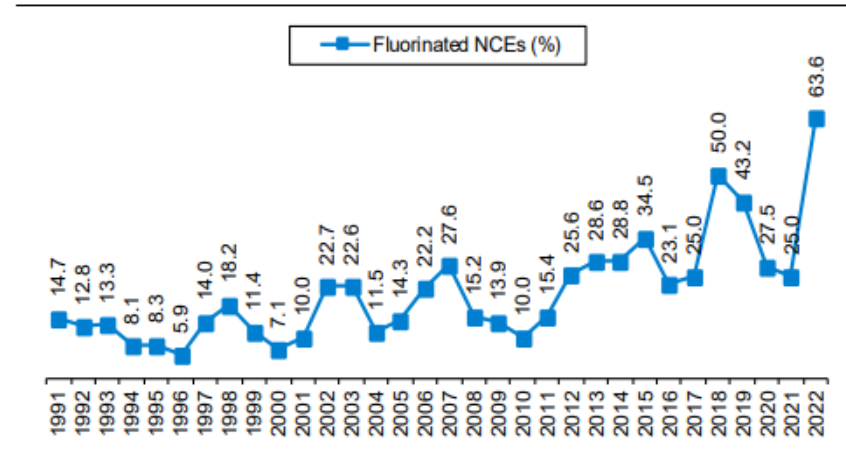
Exhibit 1: Properties of Fluorine



Source: Industry, PL

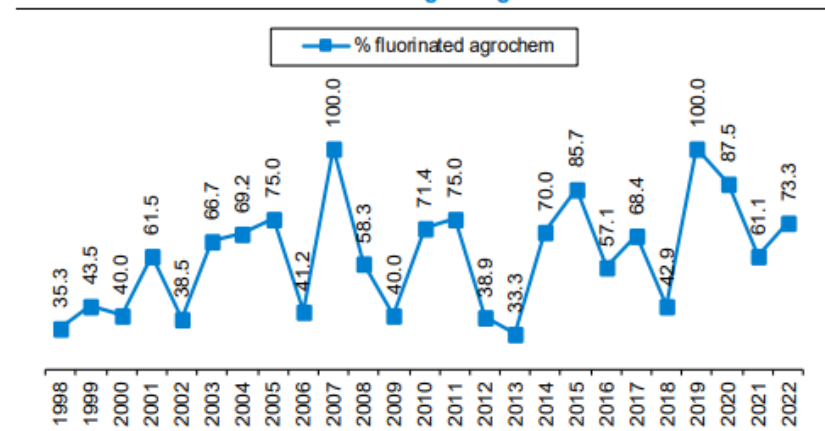
- 64% of Pharma NCEs approved in 2022 had fluorination chemistry.
- 73% of newly assigned ISOs for agrochemicals in 2022 made use of fluorination.
- **NFIL** is present in Refrigerants, Pharma and Agrochem

Exhibit 2: Fluorination finds increasing usage in drugs



Source: Industry, PL

Exhibit 8: Fluorination in new ISO assigned agrochemicals



Source: Industry, PL

# Business Overview

## Details

- Established: 1967 | Headquartered in Mumbai
- Mfg. units in Surat, Dewas and Dahej (NFASL)
- R&D operations in India and UK (Manchester Organics)
- Specialty chemicals diversification since 2007; CRAMS since 2011

### CAPACITY EXPANSION

- Hydrofluoric acid capacity expansion
- Agrochemical specialty complex
- R32 refrigerant capacity addition
- cGMP plant (pharma-grade)
- Most expansions target FY25 / FY26 commissioning

### KEY CUSTOMERS

Honeywell · Godrej · Piramal · Reliance · Tata Motors · LG · Samsung · Whirlpool · Voltas · Zydus · Hitachi · Blue Star · PI Industries · Advantec

### Specialty Chemicals ~40% of revenue

- Fluorine-based intermediates for pharma & agrochemicals
- Agrochem now 85% of segment revenue

### High Performance Products (HPP) ~45% of revenue

- Refrigerant gases: R22, R32; HFO plant for Honeywell
- Inorganic fluorides; 4th-gen HFO refrigerants (hydrofluoroolefins)

### CDMO / Contract Manufacturing ~15% of revenue

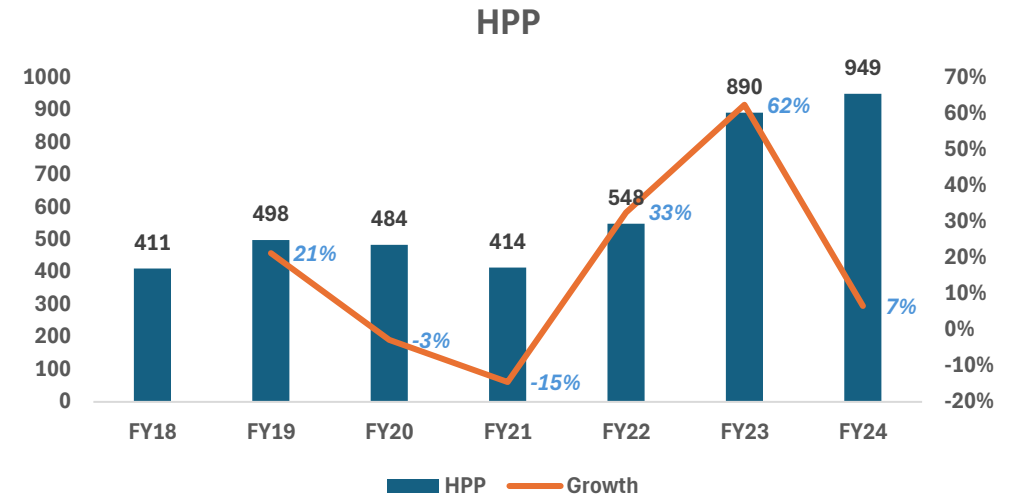
- Contract manufacturing for early-stage & large global clients
- Dedicated fluorine chemistry manufacturing platform

# HPP - Refrigerants

| Refrigerant details |                   | 100 year Global warming potential |              |
|---------------------|-------------------|-----------------------------------|--------------|
| 2nd-gen refrigerant | <b>HCFC-22</b>    | <b>R22</b>                        | <b>1,810</b> |
|                     | HCFC-142b         | R142b                             | 2,400        |
| 3rd-gen refrigerant | <b>HFC-32</b>     | <b>R32</b>                        | <b>675</b>   |
|                     | HFC-134a          | R134a                             | 1,430        |
|                     | HFC-410a          | R410a                             | 2,088        |
|                     | HFC-125           | R125                              | 3,500        |
| 4th-gen refrigerant | HFO-1234ze        |                                   | 6            |
|                     | <b>HFO-1234yf</b> |                                   | <b>4</b>     |

Source: Australia's Department of Climate Change, Energy, the Environment, and Water. Note: Navin's presence indicated with bolded text.

- **First & Only Indian HFO Manufacturer:** Captures a high-barrier, 4th-generation market (HFO-1234yf/ze) with very limited global competition.
- **Strong R32 (3rd Gen) Tailwinds:** Demand and pricing are favourable in the near-to-medium term, driven by US and UK quota implementations.
- **R32 Cost & Advantage:** Benefits from one of the lowest GWPs (675) and a highly favourable price gap compared to expensive 4th-gen alternatives.
- **Managed R22 (2nd Gen) Transition:** Legacy R22 demand is expectedly moderating due to regulatory phase-out quotas. R22 is used as a critical chemical intermediate in the pharmaceutical and agrochemical sectors, where demand has continued to remain strong and is not impacted by weather patterns

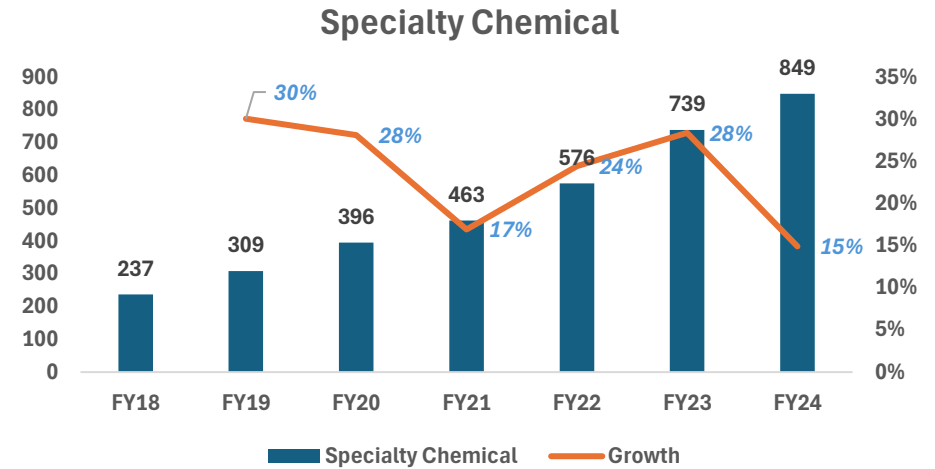


## Outlook

- HFO peak annual revenue guidance of ~INR 450 to INR 460 crores remains intact, despite ramp-up hiccups in FY24.
- Management expects R32 to follow a tightening pricing curve similar to what was historically seen with R22 as these international quotas kick in
- Non-emissive R22 applications—primarily used as intermediates in the pharmaceutical and agrochemical sectors—remains strong
- Increased AHF (Anhydrous Hydrofluoric Acid) capacity will also cater captive as well as emerging high-growth areas like EV battery chemicals and the solar sector

# Specialty Chemicals

- **Dual Market Focus:** Primarily caters to the domestic pharmaceutical sector and global agrochemical majors, including top industry innovators.
- **Core Product Capability:** Manufactures high-value, fluorine-based intermediates critical for both pharma and crop protection applications.
- **Flexible Commercial Models:** Combines highly stable, long-term supply contracts with a flexible, catalogue-based product portfolio.
- **Balanced Client Reach:** Deploys a hybrid strategy—supplying dedicated single customers via exclusive partnerships while simultaneously serving multiple clients through off-the-shelf catalogue solutions.



## Outlook

- Throughout FY24, the segment faced significant macroeconomic headwinds, primarily due to aggressive inventory destocking by global agrochemical majors and intense pricing pressure from Chinese dumping.
- Navin Fluorine is better positioned than many generic players to weather the storm because **65% to 70% of its molecules are patented or innovator-backed**.
- Management expects demand to remain muted in H1FY25 but anticipates **a progressive, gradual recovery in the H2FY25**.
- Historically, the mix was roughly 40% pharma, 40% agrochemicals, and 20% industrial/emerging areas. The company is consciously reducing its exposure to low-margin generic pharma products. Due to this, **AgChem is now 85% of the Segment Mix**.
- The core strategy is to launch 3 to 4 new molecules every year.



# CDMO

The segment offers a wide range of services—including non-fluoro projects—from early clinical phases all the way through to commercial manufacturing. This is the highest margin vertical.

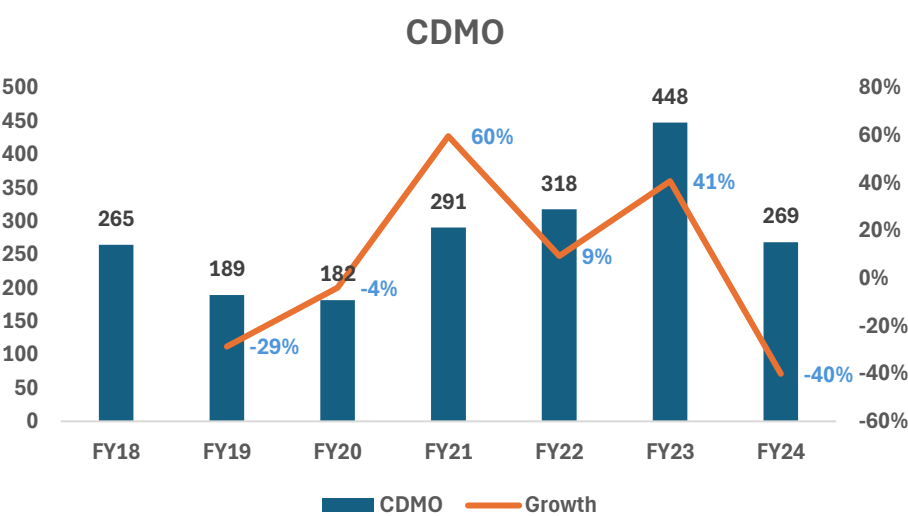
## FY24 Challenges

Nature of business being lumpy, Significant sales from a key campaign were deferred due to last-minute changes by a customer regarding product specifications and methods of analysis.

A couple of early-stage molecules dropped off from clinical trials because the data did not meet the defined endpoints

**Key Strategy Shift:** Historically, Navin Fluorine engaged with customers primarily at the clinical or Phase 1 stages, which led to significant lumpiness in revenues. The company aims to shift its product mix to achieve a 50-50 or 60-40 ratio between commercial and early-stage molecules.

*Navin Fluorine expects to reach the \$100 million revenue run-rate in its CDMO business directionally by FY27 or FY28*



## New Deals

- 1. Fermion:** Navin signed and recently expanded a Master Supply Agreement (MSA) to cover three molecules (two late-stage, one commercial) This multi-year contract is expected to generate approximately \$40 million over a three-year period starting in CY25.
- 2. U.S.-Based CDMO Partnership:** This partner brings early-stage expertise and access to the US market, while Navin provides commercial-stage scale and specialized fluorination capabilities.
- 3. Recent Purchase Orders:** In Q4 FY24, the company successfully completed a validation campaign for a late-stage drug for a UK pharma major, received POs for two new late-stage commercial molecules for US and EU majors, and secured POs for two Regulated Starting Materials (RSMs) for an FDA-approved drug with a US major for delivery in CY25

# P&L

| NAVIN FLUORINE INTERNATIONAL LTD |        |        |        |        |        |        |        |        |        |        |
|----------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Narration                        | Mar-17 | Mar-18 | Mar-19 | Mar-20 | Mar-21 | Mar-22 | Mar-23 | Mar-24 | Mar-25 | Mar-26 |
| Sales                            | 742    | 913    | 996    | 1,062  | 1,179  | 1,453  | 2,077  | 2,071  | 2,696  | 3,306  |
| Operating Profit                 | 159    | 220    | 219    | 268    | 309    | 356    | 550    | 417    | 641    | 839    |
| Profit before tax                | 182    | 266    | 224    | 258    | 358    | 344    | 496    | 309    | 495    | 676    |
| Tax                              | 45     | 84     | 77     | -144   | 111    | 81     | 121    |        |        |        |
| Net profit                       | 137    | 180    | 149    | 409    | 258    | 263    | 375    | 232    | 371    | 507    |
| OPM                              | 21.5%  | 24.1%  | 22.0%  | 25.2%  | 26.2%  | 24.5%  | 26.5%  | 20.1%  | 23.8%  | 25.4%  |
| Growth                           |        |        |        |        |        |        |        |        |        |        |
| Sales                            | 9%     | 23%    | 9%     | 7%     | 11%    | 23%    | 43%    | 0%     | 30%    | 23%    |
| Operating Profit                 | 35%    | 38%    | 0%     | 22%    | 16%    | 15%    | 55%    | -24%   | 54%    | 31%    |
| Net profit                       | 64%    | 32%    | -17%   | 174%   | -37%   | 2%     | 43%    | -38%   | 60%    | 37%    |

## Revenue Guidance

1. \$100 million CDMO business by FY27/FY28.
2. Maintaining the ~INR 450 to 460 crore peak revenue guidance for the Honeywell HFO contract

## Margin Guidance

1. Management is actively on a journey to take these margins to 20% and above in the near term
2. Over long term, management expects consolidated EBITDA margins to rebound to the historical 24% to 25% range

- Management is improving the mix within Spec Chem segment by removing low margin products and expects recovery from H2FY25. With the strategy to launch 3-4 molecules per year, the company should grow faster than last 5Y run-rate as inventory restocking begins.
- HPP growth is expected led by ramp-up of HFO capacity as well as R32 capacity addition.
- CDMO business is going through a turnaround with focus on increasing commercial mix to reduce volatility. Key deal wins like Fermion (intermediates of darolutamide – API for Innovator drug Nubeqa). Management anticipates that the CDMO business will see visible growth and recovery starting from the H2FY25.



# IRR

|        |            |            |            |
|--------|------------|------------|------------|
| CMP    | 3375       |            |            |
| S/O    | 4.96       |            |            |
| Mcap   | 16740      |            |            |
| Period | 30-04-2024 | 31-03-2025 | 31-03-2026 |
|        |            | 0.9        | 1.9        |

| PE        | FY24E | FY25E | FY26E |
|-----------|-------|-------|-------|
| EPS       | 47    | 75    | 102   |
| YoY       |       | 60%   | 37%   |
| 5Y Median |       | 52    | 52    |
| Target    |       | 3890  | 5315  |
| IRR       |       | 16.7% | 26.7% |

| Mcap/Sales | FY24E | FY25E | FY26E |
|------------|-------|-------|-------|
| Sales      | 2071  | 2696  | 3306  |
| YoY        |       | 30%   | 23%   |
| P/S        |       | 8.0   | 8.0   |
| Target     |       | 21568 | 26448 |
| IRR        |       | 31.8% | 27.0% |

|    |       | FY26 EPS |       |       |       |       |
|----|-------|----------|-------|-------|-------|-------|
| PE | 26.7% | 92.3     | 97.1  | 102.2 | 107.3 | 112.7 |
|    | 45    | 11.4%    | 14.4% | 17.5% | 20.6% | 23.7% |
|    | 50    | 17.7%    | 20.9% | 24.2% | 27.4% | 30.7% |
|    | 52    | 20.1%    | 23.4% | 26.7% | 30.0% | 33.4% |
|    | 60    | 29.4%    | 33.0% | 36.6% | 40.1% | 43.7% |
|    | 65    | 35.0%    | 38.6% | 42.4% | 46.1% | 49.8% |

|     |       | FY26 Sales |       |       |       |       |
|-----|-------|------------|-------|-------|-------|-------|
| P/S | 27.0% | 2984       | 3141  | 3306  | 3471  | 3645  |
|     | 7.0   | 12.2%      | 15.3% | 18.4% | 21.5% | 24.6% |
|     | 7.5   | 16.4%      | 19.5% | 22.7% | 25.9% | 29.2% |
|     | 8.0   | 20.3%      | 23.6% | 27.0% | 30.2% | 33.6% |
|     | 8.5   | 24.2%      | 27.6% | 31.0% | 34.4% | 37.9% |
|     | 9.0   | 28.0%      | 31.4% | 35.0% | 38.5% | 42.0% |

- We believe P/S is the most suitable metric here given Sales has not been as volatile as EBITDA & PAT. EBITDA Margin is at one of the lowest in the last 7 years.
- The closest peer in Fluorochem segment is SRF - 5Y TTM median PE of which is ~40. However, SRF has 50% revenue contribution from commodity products and positioning in RefGas is inferior to NFIL. In addition, there is no CDMO optionality as well.
- NFIL's own 5Y median PE is 60 but we assume at ~20% premium to SRF and assign an exit PE of 52.

**Key Monitorable:** H2FY25E revenue growth pick-up and gradual improvement of margins from 18% to 25% over next couple of years.

# Disclaimer

## Important Regulatory Information

Courser Park Advisors LLP is registered with SEBI as a Portfolio Manager (SEBI Registration number: INP000008303, valid from 22nd September 2023) and is governed by its rules & regulations. Corporate Identification number: ACA-0170. Registered office address: C1402, G Corp Residences 115, opp Nirguna Mandir, ST Bed Layout, Koramangala 1st Block, Bangalore -560034. Place of business: “Jai Ganesh”, No 633, IVth Cross, 100’ Road, III Block, Koramangala, Bangalore, Karnataka – 560034. We operate from Bangalore and do not have any other branches in India / abroad.

Investment in securities market are subject to market risks. Read all the related documents carefully before investing. Past performance is not indicative of future returns. Please consider your specific investment requirements before choosing a security or designing a portfolio that suits your needs.

The securities quoted are for illustration only and are not recommendatory. Registration granted by SEBI, membership of BASL and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors.

The securities discussed and opinions expressed in this document may not be suitable for all investors, who must make their own investment decisions, based on their own investment objectives, financial positions and needs of specific recipient. This may not be taken in substitution for the exercise of independent judgement by any recipient.

All the information contained herein is strictly proprietary and may not be altered in any way, transmitted to, copied or distributed, in part or in whole, to any other person or to the media or reproduced in any form, without prior written consent. The content on this document is solely for informational purpose and may not be used or considered as an offer document or solicitation of offer to buy or sell or subscribe for securities or other financial instruments. Nothing in this document constitutes investment, legal, accounting and tax advice or a representation that any investment or strategy is suitable or appropriate to your specific circumstances

This Confidential Presentation is provided to the recipient solely for informational purposes. It does not constitute an offer to sell or a solicitation of an offer to buy any interests in any entity managed or advised by Courser Park Advisors LLP (the “Portfolio Manager”). Under no circumstances should this document be construed as an advertisement or public offering. No part of this document may be reproduced or distributed without the prior written consent of the Portfolio Manager. Performance data presented herein is calculated net of all fees, expenses, and applicable taxes, and includes all cash holdings and investments in liquid funds as required under SEBI guidelines. The performance reported in this material is consistent with the data reported to SEBI, and represents the aggregate firm-level performance of all portfolios managed by the Portfolio Manager. Please note that the performance-related information provided herein has not been verified by SEBI. This advertisement or material is designed to be truthful, fair, and clear. It avoids exaggerated claims and is not intended to mislead by omission or implication. There is no promise or guarantee of assured or fixed returns, either directly or indirectly. Any comparisons, if presented, are made in a fair manner with relevant context and do not aim to portray misleading superiority. All disclosures are based on information available in the Portfolio Manager’s official documents. This material may include forward-looking statements based on current expectations, which involve risks and uncertainties. Actual results may differ materially from those projected due to factors beyond the control of the Manager. Past performance is not indicative or a guarantee of future returns, and investor returns may vary depending on the timing of investments and other conditions. The information herein is current as of the date of this document. The Portfolio Manager makes no representation or warranty, express or implied, regarding the accuracy or completeness of this information. Any reference to market indices is solely for comparative purposes and may not reflect the composition or risk profile of the portfolios managed by the Portfolio Manager. Investments described herein are suitable only for sophisticated investors who fully understand and are willing to assume the associated risks. This material does not constitute legal, tax, or investment advice. Prospective investors are strongly encouraged to consult their own professional advisors regarding the implications of any potential investment. No governmental or regulatory authority, including the Securities and Exchange Board of India (SEBI), has passed upon the merits of the offering or the adequacy of this presentation.

GET IN TOUCH

# Contact Us



CALL

+91-9538221367  
+91-80-41735687



WEBSITE

[www.courserpark.com](http://www.courserpark.com)



EMAIL

[clientsupport@courserpark.com](mailto:clientsupport@courserpark.com)



PRINCIPAL PLACE OF BUSINESS

“Jai Ganesh”, No 633, IVth Cross, 100’ Road,  
III Block, Koramangala, Bangalore, Karnataka – 560034

*All investors have an option to invest in the above product / investment approach directly, without intermediation of persons engaged in distribution services. For Direct on-boarding as PMS investor with us, please reach out to us at [clientsupport@courserpark.com](mailto:clientsupport@courserpark.com) with your name, email address and contact number — one of our authorized representatives will reach out to you.*

